



MODULE 3 UNIT 2

Activity submission scenario

UNIVERSITY OF CAPE TOWN
BUSINESS SYSTEMS ANALYSIS



Instructions

This scenario expands on the scenario introduced in Module 1. All information presented in the Module 1 scenario document and this scenario document is to be considered for the activity submission in this module. Quiz questions will not be based on this scenario, unless stated otherwise.

Note:

This scenario is entirely fictitious. Although many details are inspired by real life, resemblance to any real-life person or entity or event is purely coincidental and unintentional.

Scenario

You are now nearing the end of your third week at Kabeljou and, based on feedback and interactions with your colleagues, you're doing sterling work in eliciting the requirements of the new e-commerce system. Although you still have a long way to go before the requirements can be specified in detail, what you've learned so far will prove invaluable in your feasibility analysis effort.

Marius and Anton had made up their minds to green-light the project around the time they hired you. It was one of the reasons they were looking to hire a business systems analyst (BSA). They had not considered any of this seemingly irrelevant feasibility or business case "nonsense". Despite this, though, you managed to convince them of the merits of investing in the business case analysis before proceeding with the e-commerce project.

An ally who helped sway the decision in favour of the business case effort was Vuyelwa. She agreed when you mentioned that the business case will provide high-level requirements specifications for the system and that, even if an e-commerce system is not implemented, this would help reduce the "clumsiness", as she put it, of Kabeljou's existing systems. You suspect that Vuyelwa is keen to play a more strategic management role in IT and advance her role from being the chief systems "fire fighter" – her self-designated nickname.

With financial prudence and risk management as elements of your rationale, Miriam also proved to be a strong ally in your attempts to raise Kabeljou's maturity in systems development. However, you've heard rumours that the quote obtained around October last year from a supplier to implement e-commerce back then was rejected mostly because of Miriam's influence, yet the rumour didn't include her rationale. Because of this, you suspect that Miriam might have an ulterior motive in apparently supporting your method. Perhaps she expects the business case to prove infeasible? Or maybe it was because the project would have clashed with Kabeljou's busiest period around year-end?



Regardless, whatever Miriam's true motives are, and whether or not an e-commerce solution is feasible, you are grateful for being entrusted with full authority to conduct whatever research you need to within Kabeljou in order to perform your feasibility study.

The remainder of this scenario outlines the key details you've discovered so far.

An old proposal

One of your first reference items discovered in your research is the proposal from a website development supplier, Website Services Inc. While you're taking on the effort of a business case, management tasked you with including this old proposal as a comparison, just for interest, they say. They're curious to see how far off they might have been in not doing a business case for it previously and, perhaps, to ratify their decision to reject the proposal previously.

Although the proposal is outdated, you've ascertained directly from Website Services that they would still like to take on the e-commerce project for Kabeljou. Also, they'd like to upgrade their services by increasing their monthly retainer and helping Kabeljou with website maintenance. Because of this, they're willing to leave the old proposal's fees unchanged as a sweetener to their prospective sales discussions for a monthly services contract.

Miriam retrieved the original paper copy of their proposal from her library of neatly labelled lever arch files and she offered to photocopy it for you. To save paper costs, you declined her offer and requested a scanned copy instead, a response which seemed to throw Miriam off balance a little. You later received a PDF copy of the proposal via email from one of the customer service representatives, who scanned it for Miriam. You make a mental note to yourself about Miriam's discomfort with technology.

It turns out the proposal was not a proposal, but just a simple quotation, as you can see on the next page.



Website Services Inc.



1 Flamingo Way
Table View
ph 021 555 0000
www.wesinc.co.za

To Marius Kruger
Kabeljou (Pty) Ltd

Quotation for e-commerce website:

As discussed:

Item	Time est.	Fee
Requirements analysis	3 weeks	40,690
Design	1 week	18,100
Building	2 weeks	36,700
Testing	1 week	22,775
Hardware installation	1 week	9,010
Server H/W and OS		59,800
Installation onto server	2 days	5,490
Catalogue data and image upload	4 weeks	14,300
Training and handover	2 days	10,988
Post-implementation support	4 weeks	33,385
Total		R247,238

1 year's licence fee for WebSiteShopify (e-commerce platform) @ USD150 PM

R19,800

Billing plug-in for 1st year, USD65 PM

R8,580

Terms:

- 50% payment up front
- 25% on installation
- 25% after support phase complete
- Your web site will be quality assured to run on Chrome, Explorer, Firefox and Mozilla
- We can commence within 2 weeks of acceptance of this quote.
- System can be implemented within 2 months of starting work, assuming client is available as needed e.g. for requirements analysis, training etc.
- Client to provide DSL and server space before installation.
- 2.5% discount if total invoice settled in advance.

Kind regards,
Joe Wren, MD

John
083 212 1175
urgent!!
E&OE

Figure 1: WebSiteShopify's e-commerce quote, solution option 1.



Cost implications for the old WebSiteShopify quote

The old quote didn't describe any features, functions or any high-level requirements that you might expect to see in a typical proposal, let alone a business case. Also, several items quoted seemed unusual and unaligned with newer systems. For example, running the e-commerce system on a server at Kabeljou instead of being a hosted service. It would also have been useful to see a breakdown of their effort and rates behind each of the amounts quoted – some of those fees look suspiciously high.

You could not find answers to these questions, but you managed to discover the following details relating to the old quote and proposed system:

1. We will not be able to exploit the early payment discount.
2. The solution scope excludes all CRM functionality. Each transaction would ask for the customer's billing and shipping information to be entered during the transaction.
3. The licence fees are excluded from the supplier's quote and would be payable directly to WebSiteShopify, the e-commerce platform service provider. This fee would include access to their support services and to free updates and upgrades during each licence's annual term. (The ZAR-USD exchange rate used in the quote is outdated.)
4. The e-commerce site would be independent of our existing website on which the current catalogue exists. This means that Kabeljou's website catalogue and the e-commerce catalogue would need to be kept synchronised in order to maintain similar product descriptions, images and the look and feel. The problem with the duplication of catalogues is not only the maintenance cost to Kabeljou, but the inconvenience to the customer. If the user wants to add other items to the cart, they would need to then browse the catalogue in the e-commerce site and not the original website catalogue, which might cause lost sales, but we have no way of measuring this effect. Updating Kabeljou's catalogue to match WebSiteShopify's design is excluded from the quote. Website Services offered to add this to the project for an additional cost of R12,500 and two weeks added to the schedule. We could do this ourselves as part of ongoing internal maintenance by our web support team. Management opted for the latter, causing an estimated loss in sales of R1,500, but limited to the first three months.
5. Further, WebSiteShopify regularly releases updates to their system, about once every three to six months. We would need to apply these updates and upgrades to our instance of their software on our server to remain eligible to access their support. However, each update to the e-commerce platform is likely to change the navigation and visual design of the e-commerce catalogue. In other words, if the two catalogues are initially in sync, they would gradually become increasingly out of sync if we don't update our catalogue to match WebSiteShopify's changes. To keep our catalogue in sync, Website Services Inc. offered to update our original website catalogue for a minimum of R2,500 each time our instance of WebSiteShopify is updated.



6. In addition to the costs quoted by Website Services, they are keen on contracting on a monthly maintenance and first-line support retainer for the e-commerce site of R6,500. This excludes the ad hoc cost of catalogue synchronisation whenever WebSiteShopify releases updates and upgrades. Marius decided that, if we implement WebSiteShopify, we should maintain our own website catalogue and use Website Services to maintain the WebSiteShopify catalogue and, when WebSiteShopify releases updates, we should update our catalogue ourselves to keep our catalogue in sync. Vuyelwa estimates this would cost about R3,500 per month based on estimated salary costs.
7. There is additional integration that should be built between our catalogue and WebSiteShopify. For each product on our existing website, we should add a “Buy me” button to the product’s image and add a button to its description box. Website Services has offered to do this work for us at an additional R3,500 and no schedule delay. Vuyelwa’s team could do this as part of their ongoing maintenance work, that is, at no cost.
8. Another potential issue is that a customer would not be able to add multiple items to their cart during different browser sessions. If the end user closes the e-commerce web page, their cart will be lost. The effect is that we stand to lose sales because users abandon their carts and don’t fully “re-stock” them the next time they buy. Again, this is very hard to measure reliably until we can track actual abandoned carts, for which we need the system to be in use. Our estimate is that this might lead to an economic “loss” of about R5,000 in revenue per month. This is in addition to the existing estimates we have on the lost sales due to abandoned carts.

Benefits of the WebSiteShopify option

The benefits of the solution scope were never documented. Everyone you’ve interviewed suggests that you should assume they are the same as the benefits for the new system. Obviously, we must not count benefits for scope elements that are excluded from the old quote’s solution scope.

Therefore, you’ve worked out that the following benefits apply to the old quote’s solution scope:

9. Because orders would be paid for only by credit card and no other method, each order would be automatically reconciled and matched to money received. Eliminating all manual reconciliation efforts can save about two minutes per transaction across all transactions. Miriam’s debt collections clerks, who do the recons, each earn about R9,000 per month. There are roughly 135 orders per day, every day of the year.
10. After receiving the order, because it is already paid, it can immediately be sent to the dispatch team at the warehouse for picking and packing. This would reduce the time between receiving the order and shipping it by about two days. We could use this in our marketing to improve sales. After some statistical modelling, we estimate that after three months of marketing and fulfilling this promise to repeat customers, i.e. effective from month four, this could lead to increasing revenue by 1%.



11. Also, because customers would only pay by credit card when placing their orders, we would no longer require a debt collection function and we could save the full salary cost of a debt collector. We would also save on phone bills. Miriam guesses that the debt collectors make about 100 calls a day just to collect outstanding payment for orders. She can't say for sure how long each call lasts or the split between local numbers, long-distance, foreign or cell phone calls, but she guesstimates that we could save about R2.50 per call.
12. When you interviewed Kadys about how many shipments are returned because of wrong addresses, he estimated that we get anywhere between 15 and 50 packages returned per month. After workshoping this problem and, although we won't be able to completely eradicate the problem of customers' typos, we estimated that by forcing customers to capture their email and phone data, we can reduce replacement stock, postage and telephone costs involved with re-shipment by about R6,000 per month.
13. What attracted Marius and Anton most to implementing an e-commerce function was, and still is, to increase revenue. Your discussions with them in seeking to quantify the tangible benefits of this were lengthy and convoluted, seemingly going in circles most of the time. What you could eventually conclude and agree with them is that the e-commerce function could improve the customer's experience by making it easier and quicker to place orders and receive shipments. Hence, they estimate this would lead to a 2.5% increase in the number of orders. After your enquiry into the *timing* of this benefit, which they had not previously factored into their benefits calculations, and the value of the orders, they both agreed it would take about six months to fully realise this growth after implementing the e-commerce feature. This would translate to an additional monthly revenue from month seven of about R11,000.

Feasibility standards

With all this data, you've compiled a rough cost-benefit analysis (CBA) table for the WebSiteShopify solution (option 1). In order to work with data and assumptions consistently in all business cases at Kabeljou, you agreed with key stakeholders on the following standards:

14. Because IT assets are depreciated over three years and, with the speed of changing technology, management agrees that whichever e-commerce solution is implemented, it is expected to have a useful life of 3 years before being replaced or overhauled. The replacement or overhauling of a system will necessitate another project and a new feasibility analysis.
15. For revenue-related calculations, the baseline for Kabeljou's revenue (AKA gross sales, turnover) is based on last year's annual turnover, which is averaged at R450,000 per month, despite varying up by around R150,000 per month in the South African summer months and down by about R50,000 per month in winter.
16. Money values are to exclude VAT and other taxes.



17. Salary costs are to be included in feasibility analyses. Staff time is not free to internal projects.
18. Salary costs are based on “cost to company” rates, which include gross pay, income tax and all benefits (such as medical aid and pension payments) made by the company on each employee’s behalf. Salary costs exclude burdened costs apportioned per employee like rent, IT facilities, refreshments, and cleaning and ablution costs, etc.
19. Work days per month will be standardised across all months at 22 days per month, including February. A month comprises 4.4 weeks, including February. Work hours per day will be eight. Hence an employee’s hourly rate, for example, can be calculated by dividing their monthly salary by 22 and dividing that by eight, or a weekly rate can be determined by dividing the monthly salary by 4.4.
20. Estimates and calculations should strive for prudence. For example, if two estimates are provided, use the least favourable value. The lower of two benefit values or the greater of two cost estimates should be assumed and applied in forecasts.
21. Currency exchange rates between USD and ZAR will be fixed for this feasibility study at R20: \$1.



Option 1, WebSiteShopify CBA summary

Applying these standards to the mass of estimates and related data you've collected, you drafted a summary of the WebSiteShopify e-commerce solution in this CBA table:

Period - years	0	1	2	3
Total benefits PA	-	437,000	516,000	516,000
Total costs PA	248,000	234,000	232,000	232,000
Net benefit PA	-248,000	203,000	284,000	284,000
Net benefit (cumulative)	-248,000	-45,000	239,000	523,000

Benefits breakdown	-	437,000	516,000	516,000
#9 recon savings		84,000	84,000	84,000
#10 +1% revenue, quicker shipping		41,000	54,000	54,000
#11 debt collection salary		108,000	108,000	108,000
#11 debt collection phone		66,000	66,000	66,000
#12 wrong address		72,000	72,000	72,000
#13 +revenue, ease of use		66,000	132,000	132,000

Costs breakdown	248,000	234,000	232,000	232,000
#1 project costs	248,000			
#3 licence		52,000	52,000	52,000
#4 lost sales		2,000	-	-
#6 first-line support		78,000	78,000	78,000
#6 catalogue updates		42,000	42,000	42,000
#8 abandoned cart		60,000	60,000	60,000

What we can calculate from this CBA is that payback will be achieved early in year two, while the ROI at the end of the solution's three-year useful life is estimated at 55.3%.

Earlier this week, when you asked Miriam to informally review this draft CBA, she questioned your reason for accounting for the benefits of cost savings beyond the first year. Her rationale is that, once a cost saving has been realised (in the first year), the benefit can no longer be realised because the business is then changed and the saved costs cannot be "re-saved" in subsequent years. She contends that only revenues can be accounted beyond the first year of the solution's implementation.

Your counter reasoning for including cost savings in all years was that it accounts for the "do nothing" scenario and that the BA community of practitioners, therefore, consider this a best practice when preparing CBAs. In other words, if the solution is not implemented, costs would not be saved and would be incurred in all years.



To temporarily resolve this contention, you agreed that you would apply a consistent approach by continuing to apply the same principle to your feasibility analysis of solution option 2, being the integrated e-commerce and CRM system.

While Miriam encouraged you to show greater precision in your data, specifically, to format money values to show cents, everyone else strongly urged you to keep the data simple by continuing to round numbers to their nearest thousand. Apparently, round numbers suit Marius and Anton's visionary leadership style. You can't help feeling that, one way or the other, you're guaranteed to upset at least one important stakeholder.

The contender: option 2, integrated CRM and e-commerce

The primary difference between the implementation approaches of the two solution options is that, while the WebSiteShopify option would be outsourced to Website Services, we would undertake to do option 2, the entire CRM-e-commerce project, in-house. Further, in terms of solution scope, instead of hosting our own server for the WebSiteShopify option, the CRM-e-commerce option would be hosted by the service provider.

The points below summarise much of the relevant discovery conversations you've had about the CRM-e-commerce option:

22. Having researched two shortlisted platforms that offer the high-level functionality for both CRM and e-commerce, management agreed that the hosted solution we should use is "Sell It Online". We colloquially use the short name of "Sell It" when referring to the system itself, while we use the full name of "Sell It Online" when referring to the service provider.
23. The implementation would involve migrating the existing website and catalogue onto Sell It. Go-live will use a big bang method where the old system would "disappear" moments before the new system is switched on.
24. The Sell It system will allow us to use the same root URL as our current URL, so we would have no problems with links in our old newsletters or other backlinks to our website's home page. However, we will lose links to sub-pages. While we can re-create existing sub-pages on the new system, we won't have control over their URLs, which are generated automatically by Sell It. This means we might lose traffic and sales. In a workshop, Vuyelwa and Marius estimate that, because many of our sales are generated by click-throughs from our monthly newsletters, this might initially cost about R50,000 in lost sales per month. The problem will eventually "die out" according to Marius and, to prove Marius' point, Vuyelwa calculated that it takes about five months for a newsletter to become "inactive". You agreed that you would account for this loss in the CBA as a cost that diminishes evenly over the first five months. This means that the lost revenue would be 100% of R50,000 in month one, 80% in month two (R40,000, etc.) until R10,000 in month five and R0 lost sales in month six.



25. Costs for hosting the full system with Sell It Online equate to about \$250 per month. This includes the CRM and e-commerce plug-in modules on top of the base platform. This buys us their gold level package and gives us all basic functionality of the core platform and the two plug-ins, but limits us to 10,000 users (i.e. customer accounts) in the CRM module. The platinum licence, with e-commerce and CRM plug-ins and an unlimited number of user accounts, is priced at \$1,000 PM. Marius is happy for you to ignore this in your business case, saying that the platinum licence cost will be negligible once our customer base hits 10,000 members. Although you aren't involved in the strategy meetings, you've heard that we might breach the 10,000 user ceiling next year.
26. In order to maintain the Sell It system after going live, it would be a business risk to not have quick access to a specialist, like the developer we'll need for the project. However, we won't have enough work to employ anyone on a full-time basis with the skills required, but we should be able to contract the developer, or someone similar, on a retainer to be available at a day's notice. We should budget about R4,000 per month for this.
27. Vuyelwa accepted Marius' appointment for her to project manage this project. She would delegate some of her operational duties to her staff so that her availability to this project would be 20 hours per week (about 50% of her full-time capacity). She would be allocated to the project from the moment the business case is approved (when the requirements analysis starts) until the project closes, which would be at the end of the support period after go-live. Vuyelwa's salary is around R45,000 per month.
28. Your work on this project would consume 100% of your time. You will have no other duties at Kabeljou until this project is complete. Your salary is roughly R35,000 per month.
29. To help with development and other technical work and, subject to the business case being approved for option 2 (Sell It), you may hire a Sell It e-commerce developer and a graphic designer. The market rates for the level of skills we need seem to be around R20,000 to R30,000 per month for a junior developer and about R30,000 per month for a recently-graduated designer.
30. A Sell It CRM specialist might be required for the integration work between the CRM and e-commerce modules. We'll only know for certain if we need this extra person when the developer gets to the integration specifications and design work. Either way, the integration effort shouldn't take more than five working days, regardless of who does the work. The CRM specialist would cost about R250 per hour.

Project estimates

31. You've recommended the advantages of a small and nimble project team, hence Marius is keen for you to handle many other tasks that are not strictly BSA-related. As such, you would be responsible for the following tasks in this project:

- 31.1. Discovering all business needs and systems requirements;



- 31.2. Developing the detailed requirements specifications;
- 31.3. Working with the developer and designer to translate the business requirements specs into detailed system requirements and design specs;
- 31.4. Collaborating with the developer and designer during their development work;
- 31.5. Training of staff before go-live;
- 31.6. Writing the online training content and the FAQ page for end users;
- 31.7. Quality assuring the system at each stage of development; and
- 31.8. Supporting Kabeljou staff, like the CSRs and finance team, by phone and email for about a month after the system goes live, or as long as it takes to sufficiently stabilise the system and user knowledge.

32. Using this information and, in collaboration with Vuyelwa, you've estimated the project's resourcing, effort and cost according to this breakdown:

<u>Project cost</u>	<u>Resource</u>	<u>Resource rate (per week)</u>	<u>Duration (weeks)</u>	<u>Resource cost</u>	<u>Task cost</u>	<u>Total</u>
1. Hardware						nil
2. Analysis						47,727
2.1 Feasibility research	BSA	7,955	2	15,909	15,909	
2.2 Requirements gathering and specifications	BSA	7,955	4	31,818	31,818	
3. Design & development						147,500
3.1 Development	BSA	7,955	6	47,727	129,545	
	developer	6,818		40,909		
	designer	6,818		40,909		
3.2 CRM specialist	specialist	10,000	1	10,000	10,000	
3.3 Training and user guide documentation	BSA	7,955	1	7,955	7,955	
4. Testing & implementation						115,909
4.1 Testing	BSA	7,955	2	15,909	43,182	
	developer	6,818		13,636		
	designer	6,818		13,636		
4.2 Bug fixes, re-work from testing	developer	6,818	2	13,636	27,273	
	designer	6,818		13,636		
4.3 Post-go-live support	BSA	7,955	4	31,818	45,455	
	developer (50%)	3,409		13,636		
5. Project management	Vuyelwa	5,114	18	92,045	92,045	92,045
Total						403,182

You've agreed with Vuyelwa and Miriam that, regarding the project costs, only the total estimate need be used in the CBA.



Bigger benefits?

It's clear that the project costs for option 2 are significantly greater than option 1's project costs, which prompted a clear expression of misgivings by Miriam. However, project costs are only one of three parts of the CBA, the other two being operational costs and the anticipated benefits. So, for option 2 to be a viable contender, it will need to limit the operational costs and enjoy much greater benefits than option 1.

33. There are two big advantages of the Sell It option over WebSiteShopify. One of them is that each cart's contents will not be lost between sessions. This is because the items in the cart will be cached in cookies on the customer's PC or device. Then, to place an order and pay for it, customers must have an account and be logged in before paying. This will also save customers the effort of capturing their shipping and contact details every time they order. In our workshops, we estimated that there will be three tangible benefits of having customers login before hitting the check-out button:

33.1. **Lower incidence of abandoned carts:** Related to point 8 for the WebSiteShopify solution, we will never be able to outright avoid abandoned carts, so we can't assume that we can entirely avoid the economic loss from abandoned carts. However, a conservative estimate is that we will be able to reduce the existing abandoned cart rate enough to improve revenue by at least R5,000 per month. This benefit would be realised immediately when the system goes live.

33.2. **Less customer churn:** Because customers will be able to order with greater convenience, we expect to increase customer lifetime value (CLV). We estimate that this will improve revenue by about R8,000 per month. It's a very conservative estimate, but we simply have no reliable data on which to forecast a more favourable estimate. Unfortunately, this benefit takes a while to kick in because it depends on customers' long-term behaviour. We suspect that this will take effect *after* month six after the system goes live.

33.3. **Fewer wrong addresses:** From a combination of less re-capturing of address data and re-using previously-successful shipping addresses for each repeat customer, we expect to reduce the rate of replacement shipments. Similar to option 1's benefit #12, we anticipate this will save postage and phone costs and reduce stock losses in the order of about R6,000 PM, effective from month one after going live.

Each of these benefits is dependent on the underlying feature or capability being implemented in the system, namely the caching of cookies, customer accounts and storing the delivery address linked to each account.

34. The other direct and big advantage of Sell It over WebSiteShopify is that we would have only one catalogue to maintain. According to preliminary investigations, the current skill, effort and cost involved in maintaining the existing site would not change from our current state after migrating to Sell It. If anything, this maintenance effort might become easier, but we also plan to increase our product range, but this is not a certainty yet, so we'll ignore accounting for any benefits or costs here other than avoiding the cost of maintaining two catalogues.



35. A further advantage of the Sell It system, which has no comparison with WebSiteShopify, is the entire set of generic benefits associated with an electronic CRM system that is integrated with our sales (e-commerce) system. Currently, our CRM and sales systems are very low tech and not directly integrated, hence the high costs involved with payment reconciliation and debt collections.

Typical benefits include, for example, being able to track each customer's activity as they click through the catalogue (and not only their buying patterns), segmenting the customer base according to this behaviour and tailoring each newsletter to be sent to specific segments and thereby improving the click-through and conversion rates, having quick access to customer activity records so that CSRs are better equipped in their customer support calls and customers get better help faster, better management reporting and trend analysis, so that management can design better email campaigns.

Although the literature on the Sell It Online sales pages does a thorough job of exaggerating these benefits, we've taken a conservative approach to quantifying the impact on Kabeljou's top line. Firstly, it will take a few weeks for us to learn how to use the system and how to design useful, meaningful reports and enquiries. Secondly, regardless of our learning speed, it will take several months for enough data to grow in order to derive reliable trends and statistics. Thirdly, what we actually do with all this market intelligence will take time to yield results.

Therefore, a revenue growth in the first year of about R100,000 is all we should realistically expect. From the second year onward, though, management would like to target additional revenue growth attributable to the system of at least R200,000 per annum, compounded each year. These revenue expectations are in addition to the overall growth targets in the business plan.

36. Benefits 9 through 11 apply equally to both WebSiteShopify and Sell It.
37. All other existing work and resources across Kabeljou will remain unchanged for now. These include the catalogue maintenance team of developers, freelance photographers and designers, our internet service provider and IT infrastructure, amongst various other resources – none of these is affected by either solution.
38. Of the many plug-ins available on Sell It, Kadys is very keen on the "Ship It" shipping module. This would help computerise and streamline many of the order fulfilment and dispatch tasks in the warehouse. For example, the Ship It module will enable the picker-packers and dispatchers in the warehouse to interact directly with the system to get order information (for example, products and quantities ordered and the shipping address), as well to update the system with their progress on each order. However, after your preliminary discovery of the gap between current systems, which are mostly paper-based, and what would need to be in place in order to exploit the shipping plug-in, you've recommended already that we should not bite off more than we can chew and rather make changes to mission-critical systems in manageable chunks. Assuming we choose to implement Sell It, Marius agrees with your suggestion that we consider the shipping plug-



in as an enhancement only *after* implementing and stabilising e-commerce and CRM, much to Kady's dismay. This means that the warehouse staff will have no direct interaction with the system and the method they receive each order's information will remain unchanged, being via email.

While there is probably much more information on system functionality and business processes that you need in order to create a robust business case, you've committed to a deadline of delivering your feasibility studies on both solutions and completing your business case by Tuesday next week. The information you have right now will have to suffice.

While Marius originally expected the project to cost under R150,000 and have a working system within 3 months, you and Vuyelwa have convinced management to increase their expectations. The ball park estimates for now are for a budget of about R400,000 and to complete the project within 6 months. This budget and schedule have become the provisional working objectives for the project.

Marius and Anton are looking forward to seeing what a "proper" business case looks like and in getting your input in this critical business decision. Although you have less than a week to complete your enterprise analysis and feasibility study, you're intent on satisfying their high expectations of you.

Good luck!

Note:

If you encounter conflicting data between this scenario's content and examples in the Head Tutor videos, the scenario content will supersede the video's examples. Please apply this principle to all such conflicts throughout this course.